

The Home-Buying Process

Once you've decided you want to be a homeowner, you must determine how much house you can afford. There are two parts to this. The first is to follow a budget for at least three to six months so you know your spending habits and how much money you have to work with. The second is to estimate how much money the bank is likely to lend you so you don't waste time and emotional energy looking at houses or neighborhoods you can't afford.

Calculate Your PITI

To estimate how much you can expect to borrow, use the two basic guidelines that banks and mortgage companies follow. The first guideline is that principal, interest, taxes, and insurance (PITI) shouldn't exceed 28 percent of your gross income (your pay before taxes). Let's say that your gross income is \$50,000 a year. Your principal, interest, property taxes, and insurance shouldn't exceed \$14,000 per year, or \$1,166 per month.

Property taxes can vary drastically between states and even between towns in the same state, so call the town or city tax assessor and ask what the typical taxes would be on a house that's in your approximate price range. The sales listing for a home you're looking at may also yield some historic information—but things could change. You may be able to afford to buy the house but unable to afford the taxes.

Let's assume that the property taxes on a \$100,000 house are \$1,800 per year, or \$150 per month, that homeowner's insurance is \$400 per year, or \$33 per month, and that PMI is \$50 per month. You would qualify for \$933 per month in principal and interest payments ($\$1,166 - \$150 - \$33 - \$50 = \$933$). So how much house can you buy for \$933 per month? Try plugging several different interest rates into one of the mortgage calculators found at websites such as CNNMoney (<http://money.cnn.com>) or Quicken.com (www.quicken.com).

Consider Your Long-Term Debt